Circular Ref: SEBI/HO/IMD/DF3/CIR/P/2020/172 Date: September 11, 2020

Circular on Asset Allocation of Multi Cap Funds under Scheme Categorization

1. All Mutual Funds / Asset Management Companies (AMCs) / Trustee Companies / Board of Trustees.

2. Vide SEBI circular SEBI/HO/IMD/DF3/CIR/P/2017/114 dated October 06, 2017, categories of mutual fund schemes were defined to standardize scheme characteristics and portfolio holdings.

3. In order to diversify the underlying portfolio of Multi Cap Funds and ensure true representation of the category, it has been decided to amend the portfolio allocation requirement for Multi Cap schemes as follows:
(a) Minimum investment in equity & equity related instruments shall be 75% of total assets.
(b) Minimum investment in equity & equity related instruments of large cap companies: 25% of total assets.
(c) Minimum investment in equity & equity related instruments of mid cap companies: 25% of total assets.
(d) Minimum investment in equity & equity related instruments of small cap companies: 25% of total assets.

4. All AMCs managing Multi Cap schemes shall ensure compliance with this requirement within one month from the date of publishing of next list of stocks by Association of Mutual Funds in India (AMFI).

5. Large & Mid Cap Funds: For the avoidance of doubt, the asset allocation for Large and Mid Cap Funds continues to be governed by SEBI circular dated October 06, 2017 requiring minimum investment of 35% in large cap companies and 35% in mid cap companies.

6. Net Worth Requirements: Asset Management Companies are reminded of Regulation 21(1)(f) of SEBI (Mutual Funds) Regulations, 1996 requiring a continuous net worth of not less than Rs 50 Crore. Failure to maintain mandatory net worth impairs eligibility to launch new mutual fund schemes.

7. Custody and Trustees: Trustees of the mutual fund and the Custodian appointed under Regulation 43 shall ensure that scheme securities are segregated and held strictly in accordance with these investment allocation norms.

8. This circular is issued in exercise of powers conferred under Section 11(1) of the Securities and Exchange Board of India Act, 1992 to protect the interests of investors in securities.